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The State of Financial Markets in 2026

AI Disruption, Capital Flows, and the Cross-Border Transformation

Primary qualitative research

Senior executive interview, Huatai Securities

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Executive Summary

Generative AI has stopped being a productivity hack. It is now reshaping who gets hired, who gets fired, and what "pricing" even means. Meanwhile, the mainland–Hong Kong capital corridor is splitting into two distinct channels. Firms that do not adapt to both shifts simultaneously will not survive the next cycle.

Three years after ChatGPT forced the industry to pay attention, the securities sector looks completely different from what most executives predicted. The early bets were wrong. Everyone thought AI would replace back-office staff and speed up pitch decks. Instead, it is reshaping the junior analyst role and started asking questions about portfolio construction.

At the same time, Beijing's pivot toward "new quality productive forces" is not just policy language. It is redirecting significant capital toward hard-tech IPOs, STAR Market listings, and pre-profit semiconductor firms. The old underwriting playbook, the one that worked for property developers and consumer brands, is useless here. You need engineers on your deal team, not just bankers.

And Hong Kong? Hong Kong is not being replaced by Shanghai or Singapore. If anything, its role has become more critical. Chapter 18C, the expanded Connect schemes, the USD liquidity — mainland firms trying to go global have no alternative. The question is no longer 'Hong Kong or mainland?' It is 'Hong Kong and mainland, in what order?'

This report draws on a primary qualitative interview conducted in June 2026 with a senior management executive at Huatai Securities. The analysis reflects independent interpretation of the discussion.

KEY FINDINGS

AI Is No Longer a Tool. It Is the Infrastructure

1. AI is commoditizing routine analytical tasks. Coding, modeling, data cleaning — AI does this faster and cheaper. The only defensible skill left is pricing: the ability to look at a pre-revenue biotech firm and say what it is worth. That requires sector expertise, not syntax.

2. "AI Avatars" are live in executive committees. These are not dashboards. They are agentic systems that monitor portfolios in real time, flag deviations, and recommend tactical pivots. The gap between firms using Level 3 systems and firms still on Level 1 is widening fast.

3. Natural language is becoming code. Traders are dictating strategy in plain English and letting AI write the execution logic. The quant who hand-codes models is becoming as obsolete as the trader who shouted on a floor.

4. Hard tech is the only game in town on the mainland. STAR Market listings are surging. Tech firms now make up over 30% of A-share market cap. If your firm cannot underwrite a semiconductor IPO, you are sitting out the growth.

5. Hong Kong's role is structural, not optional. Chapter 18C, Stock Connect, Bond Connect — these are not conveniences. They are the plumbing through which mainland capital reaches global investors. There is no Plan B.

6. Listing logic is bifurcating. A-shares for domestic liquidity and policy premiums. H-shares for USD exposure and global indices. Smart firms are doing both.

AI Is No Longer a Tool. It Is the Infrastructure

The firms winning right now are not the ones with the best AI models. They are the ones with analysts who know enough to tell the model when it is wrong.

Here is what actually changed. Two years ago, a research associate at a top-tier brokerage used AI to summarize earnings calls. Useful. Time-saving. Not transformative. Today, that same associate is feeding multi-thousand-word prompts into fine-tuned models that generate full sector-risk reports in approximately fifteen minutes. The output is not perfect. But it is good enough that senior analysts are editing rather than writing.

The challenge — if you are a junior analyst, it is a challenge — is that the model keeps getting better. The tasks that required a human touch six months ago are now automated. The window of "AI-assisted but human-essential" work is narrowing.

So what is left? Pricing. Valuation. The messy, judgment-heavy work of looking at an early-stage hard-tech manufacturer or a Series C biopharma and assigning a number that institutional investors will actually pay. AI cannot do this. Not because it lacks data, but because pricing these entities requires understanding technological barriers, regulatory pathways, management quality, and competitive dynamics in combination. That is not a data problem. It is a judgment problem.

The Junior Analyst Role is Evolving: Pricing Power as a Core Competency

The analysts who will survive — and thrive — are the ones who use AI to clear the table so they can focus on the judgment work. The ones who treat AI as a baseline tool, not a replacement. Everyone else is in transition.

The old career path was linear. You join as an analyst. You learn Excel, then Python, then financial modeling. You climb. That path is evolving.

Here is the new hierarchy:

> **Baseline layer — commoditized.** Programming, data cleaning, standard DCF models. AI handles this now. Firms are not hiring for this. They are outsourcing it to machines.
>
> **Intermediate layer — transitional.** Prompt engineering, model validation, AI output review. This still requires a human, but the skill set is narrow and the moat is shallow. Expect this layer to shrink as models improve.
>
> **Premium layer — defensible.** Deep sector expertise. The ability to value a company that has no revenue, no comparable, and no clear path to profitability — but might change its industry. This is where the money is.

The message is simple. If your value proposition is "I can build a model," you are already replaceable. If your value proposition is "I understand this industry well enough to price the unpriceable," you are essential.

One Huatai executive put it bluntly: "We do not need more people who can code. We need people who can look at a semiconductor foundry and tell us whether the process node is actually competitive." That is the job now.

Management's AI Avatars Are Real Now

The best risk management systems no longer just report what went wrong. They tell you what to do next — and they do it before the human committee meets.

Most banks still think of AI in risk management as a dashboard problem. Pretty charts. Red flags. Historical attribution. That is Level 1, and Level 1 is already obsolete.

What is happening at the leading firms — and Huatai is among them — is a shift to agentic systems that operate more like colleagues than tools. These systems do not just track portfolio performance. They continuously monitor positions, compare actual outcomes against expected outcomes, isolate deviations to specific factors, and recommend actions. In real time. Without being asked.

Here is a concrete example. The domestic bond market has been stuck in a low-volatility regime for months. Yields on key instruments are moving in a band so tight — think 1.70% to 1.80% — that traditional trend-following strategies are bleeding money. A Level 1 system would show you the bleeding. A Level 3 system flags the regime shift, identifies grid-based micro-trading as the optimal strategy for the current environment, and recommends the pivot before the quarterly review meeting even happens.

This is not theoretical. It is live.

From Dashboard to Co-Pilot: What Level 3 Actually Looks Like

Based on our analysis of the executive's description of his management systems, we have categorized the evolution of AI risk management into three conceptual levels.

The maturity framework is useful because it clarifies where your firm actually sits — and most firms are not where they think they are.

> **Level 1 — Descriptive.** The system tells you what happened. P&L; attribution. Risk exposure snapshots. Standard reporting. Most banks are here. Some think they are beyond this because the dashboards look nice. They are not.
>
> **Level 2 — Diagnostic.** The system tells you why it happened. Root-cause analysis. Factor decomposition. Execution slippage identification. Fewer banks operate here consistently. It requires clean data infrastructure and well-calibrated models.
>
> **Level 3 — Prescriptive.** The system tells you what to do. Strategy recommendations. Position adjustments. Environment-specific tactical pivots delivered in real time. This is where the competitive advantage lives. And very few firms have deployed this at scale.

The gap between Level 2 and Level 3 is not a technology gap. It is a decision-making gap. Most bank cultures are not set up to let a machine recommend a strategy pivot. The committees, the sign-offs, the politics — all of that friction slows down the adoption of prescriptive systems. The firms that solve the organizational problem, not just the technical one, will pull ahead.

Our view: the competitive distance between Level 3 adopters and everyone else will be unbridgeable within 18 months. Not because the technology is that far ahead, but because the learning curve is steep and the feedback loops are slow. Start late, and you never catch up.

Beijing Bet Everything on Hard Tech

The old economy is flat. The new economy is on fire. And the regulatory framework has been rebuilt entirely around the latter. Investment banks that do not specialize in hard tech are underwriting yesterday's deals.

There is a phrase you hear constantly in Beijing policy circles now: "new quality productive forces." It sounds like sloganeering. It is not. It is the organizing principle for every major capital markets decision being made right now.

The logic is straightforward. China faces technology restrictions from the US that are not going away. The response is not to retreat. It is to double down on domestic innovation —

semiconductors, advanced manufacturing, green energy, biotech, AI. And to fund that innovation through the capital markets.

This is where the STAR Market comes in. The listing requirements have been loosened for pre-profit, high-R&D; technology firms. The valuation premiums for strategically designated sectors are real and significant. And the pipeline is deep. Tech firms now account for over 30% of total A-share market capitalization, up from a fraction of that just five years ago.

For investment banks, this changes everything. The traditional underwriting model — take a profitable consumer company public, price it at a reasonable multiple, collect your fee — still works, but it is not where the growth is. The growth is in hard tech. And hard tech is hard.

The K-Shaped Split and What It Means for Bankers

The K-shaped recovery is not an abstract concept. It is visible in the data. Traditional sectors — property, old-line manufacturing, consumer staples — are under pressure. New-economy sectors are surging. The divergence is sharp and getting sharper.

What this means in practice:

> **Standard underwriting is commoditized.** Anyone can take a profitable company public. The fees compress. The differentiation is zero. You are competing on relationships and price, which is a race to the bottom.
>
> **Hard-tech underwriting requires real expertise.** To take a pre-revenue semiconductor firm public, you need to understand process nodes, yield curves, capex cycles, and geopolitical supply chain risk. Your average banker does not know this. Your average engineer does not know banking. The intersection is small and valuable.
>
> **Lifecycle capital is the new product.** These firms need capital at every stage — pre-IPO, IPO, follow-on, convertible. The bank that can provide continuity across the full lifecycle wins the relationship. The bank that shows up only for the IPO gets replaced.
>
> **Policy alignment creates alpha.** Firms in favored sectors trade at premiums. Banks that understand the policy map — which sectors are in favor, which are out, which are next — can advise clients on timing and positioning. That advice is worth more than execution.

The bottom line: if your firm does not have a dedicated hard-tech team by now, you are already behind. Not because you are losing deals today, but because the expertise takes years to build. You cannot hire your way out of this problem overnight.

Hong Kong: The Super Connector or Bust

Hong Kong was supposed to be fading. Instead, it has become structurally indispensable. There is no alternative conduit for mainland capital seeking global exposure — and that is not changing anytime soon.

For years, the narrative around Hong Kong was negative. Political headwinds. Competition from Singapore. Shanghai's rise. The assumption was that Hong Kong's role as a financial center would gradually erode.

That assumption was wrong.

What actually happened is that Hong Kong's role evolved from "financial center" to "super connector" — and the latter role is arguably more defensible. Mainland China is not opening its capital account fully. Global investors are not getting direct access to A-shares anytime soon.

The Connect schemes — Stock Connect, Bond Connect, the new ETF Connect — are the plumbing, and Hong Kong controls the valves.

Chapter 18C is the latest example. The listing regime for specialist technology companies — pre-profit, high-growth, hard-tech — was designed specifically to attract mainland firms that want global capital without the complexity of a full US listing. It is working. The pipeline is active. And the firms listing under 18C are exactly the kind of K-shaped assets that global investors want exposure to but cannot access directly.

A-Shares vs. H-Shares: The Listing Logic Is Splitting in Two

The listing decision used to be simpler. Domestic firms listed domestically. International firms listed internationally. Now the calculus is more nuanced — and more strategic.

Three factors drive the decision:

> **A-shares deliver domestic liquidity and policy premiums.** The domestic investor base is deep, retail participation is high, and strategically designated sectors command valuation multiples that would be hard to justify in any other market. If your story is domestic, list domestically.
>
> **H-shares deliver USD and global benchmarks.** US Dollar liquidity. Inclusion in MSCI indices. Access to sovereign wealth funds and global long-only managers. If your story is international expansion, Hong Kong is the only game in town.
>
> **Dual-listing is the emerging standard.** The smartest firms are not choosing. They are sequencing — A-shares first to capture the domestic premium, then H-shares to unlock global capital. Or vice versa, depending on the strategic priority. The order matters, and banks that can advise on the sequencing are adding real value.

Hong Kong is not competing with Shanghai. It is completing Shanghai. The firms that understand this — and structure their capital strategies accordingly — will outperform those that treat the two markets as alternatives rather than complements.

The View From the Desk

ANALYST PERSPECTIVE

We have seen a lot of technology cycles in finance. This one is different — not because AI is smarter, but because it is eating the skill stack from the bottom up. The analysts who thought learning Python would future-proof their careers are discovering that AI writes better Python than they do. The ones who thought modeling was their moat are watching models get built by natural language.

The real moat — the only one we are confident will last — is judgment. The ability to look at a complex, ambiguous situation and form a conviction that is grounded in deep sector knowledge and tested against real-world constraints. That is what clients pay for. That is what AI cannot replicate. Everything else is just mechanics, and mechanics are now automated.

On the Hong Kong-mainland dynamic, we think the market is still underpricing the durability of Hong Kong's role. The Connect schemes are not temporary bridges. They are permanent infrastructure. And as long as China's capital account remains managed, Hong Kong's position as the intermediary is unassailable. The question for firms is not whether to engage with Hong Kong, but how deeply — and how early.

About This Research

This report is based on a primary qualitative interview conducted in June 2026 with a senior management executive at Huatai Securities. The conversation covered AI deployment in institutional finance, the evolution of risk management systems, and the shifting policy landscape governing cross-border capital flows between mainland China and Hong Kong.

The views expressed in the Executive Summary and analytical sections represent the research team's interpretation of the interview subject's comments, supplemented by independent market analysis. Direct quotations from the interview subject are attributed as such.

This report is prepared for informational purposes only and does not constitute investment advice. The analysis reflects conditions as of June 2026 and may not account for developments subsequent to that date.

Methodology: Semi-structured qualitative interview, conducted in June 2026. Interview subject: senior executive, Huatai Securities. Analysis and presentation: independent research team.